Economic History II

Consequences of the Reformation

FGV EPGE

Outline of the class

- Second class on the Reformation. Last time: why it survived and what it moved. Today: what was built with the property taken from the Church.
- **Heldring, Robinson and Vollmer (2021)**, the paper you read: the Dissolution of the English Monasteries and the commercialization of the countryside.
- Figueroa (2023): confiscation, the sale of offices, and the birth of the salaried bureaucracy.
- Common starting point in both: one third of the land changes hands.

The Dissolution of the English Monasteries

Heldring, Robinson and Vollmer (2021), *Quarterly Journal of Economics*

Commercialization of land and long-run industrialization

THE LONG-RUN IMPACT OF THE DISSOLUTION OF THE ENGLISH MONASTERIES*

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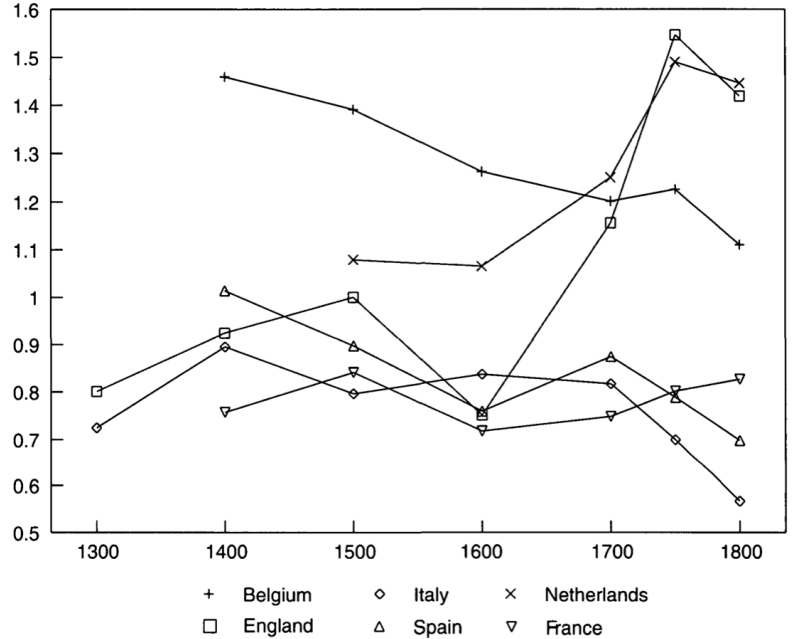
We use the effect of the Dissolution of the English Monasteries after 1535 to test the commercialization hypothesis about the roots of long-run English economic development. Before the Dissolution, monastic lands were relatively unencumbered by inefficient feudal land tenure but could not be sold. The Dissolution created a market for formerly monastic lands, which could now be more effectively commercialized relative to nonmonastic lands, where feudal tenure persisted until the twentieth century. We show that parishes affected by the Dissolution subsequently experienced a rise of the gentry and had more innovation and higher yield in agriculture, a greater share of the population working outside of agriculture, and ultimately higher levels of industrialization. Our results are consistent with explanations of the Agricultural and Industrial Revolutions which emphasize the commercialization of society as a key precondition for taking advantage of technological change and new economic opportunities. *JEL Codes:* N43, N63, N93, O14, Q15.

The commercialization hypothesis

- Pirenne, Polanyi, Hicks: England industrialized first because land and labor could be allocated through the market, rather than via feudal regulation or custom.
- An old hypothesis, never tested.
- Testing it needs variation in how **commercialized** a place was, with technology and geography held fixed.
- The Dissolution of the Monasteries supplies that variation.

Why the question matters

- The Great Divergence: the gap between poor and rich nations widened from a factor of 4 or 5 to as much as 100.
- It started with technological innovation, industrialization and urbanization in Britain.
- Critical to it: a labor force mobile enough to move to Manchester and Birmingham, and an agricultural surplus to feed the new cities.
- Both require factors of production that can be moved.


1.6
1.5
1.4
1.3
1.2
1.1
1
0.9
0.8
0.7
0.6
0.5
1300
1400
1500
1600
1700
1800
Belgium
England
Italy
Spain
Netherlands
France

English agriculture pulls away

- Output per farm worker, six countries, 1300 to 1800. England in 1500 = 1. Allen (2000).
- To 1600, England looks like everyone else: a Black Death rise, then a fall as population recovers.
- After 1600 the curve breaks. 0.76 in 1600, 1.15 in 1700, **1.54 in 1750**: the highest in Europe.
- Italy, Spain, Germany: flat or falling. France: a modest rise. Allen: "These countries missed an agricultural revolution".
- The Dissolution, 1536 to 1540, sits at the start of the English rise. Today's paper asks what freeing one third of the land had to do with it.

The friction: copyhold

- The Black Death ended serfdom as the dominant way of organizing rural labor.
- Population collapsed, villeins gained bargaining power, and they negotiated leases at low fixed nominal rents: **copyholds**. Named for the copy kept in the manor court.
- Two sorts. Copyhold *for lives*, usually three lives, effectively 100 years. Copyhold *of inheritance*, which lasted forever.
- Copyhold of inheritance fixed the rent of the tenant and his heirs in perpetuity. Overton: "villein tenure gradually changed its name to copyhold".
- Abolished only in 1925, by the Law of Property Act.

Why perpetual copyhold hurt

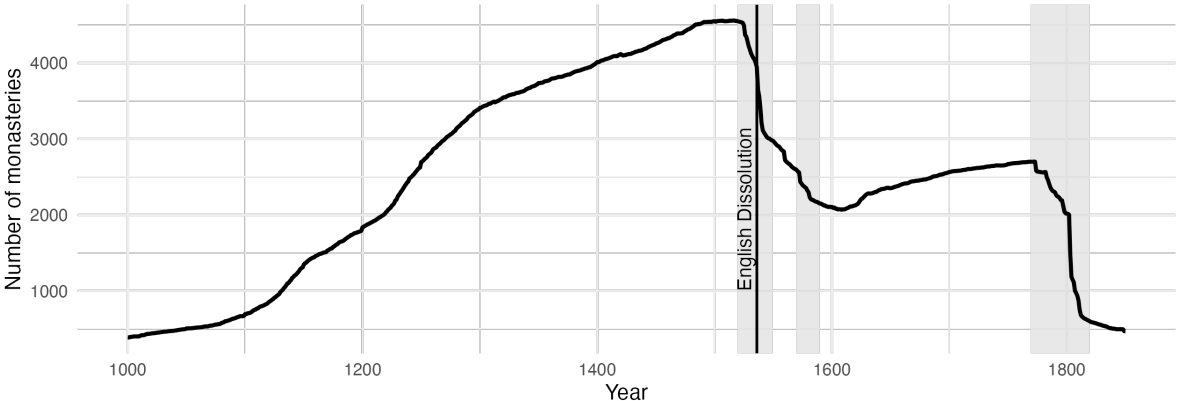
- The tenant pays a fixed nominal rent, so he is residual claimant. But his investment is **specific**: leaving means he cannot liquidate it.
- So he underinvests, and he stays put even when a better opportunity appears.
- The landlord will not invest either: the returns would accrue to the tenant.
- And no efficient matching: a farmer who could use the land better cannot capture the gain.
- Milder under copyhold for lives, which lapsed after three lives and had to be renegotiated.

Why monastic land was different

- Same shock, different landlords. The Church resisted the post-plague bargaining harder.
- Swanson: "gradual decline (but not total abolition) of serfdom. Here again, ecclesiastics faced the same forces as their lay counterparts, but were seemingly less willing to give way".
- Durham priory was drawing up lists of serfs into the fifteenth century; Tavistock abbey was still collecting servile dues in 1497.
- Of 2,136 monastic tenure contracts recovered from the *Monasticon Anglicanum*, 13% were copyhold of inheritance, against about a third nationally.
- That is an incidence almost **70% lower** on monastic land.

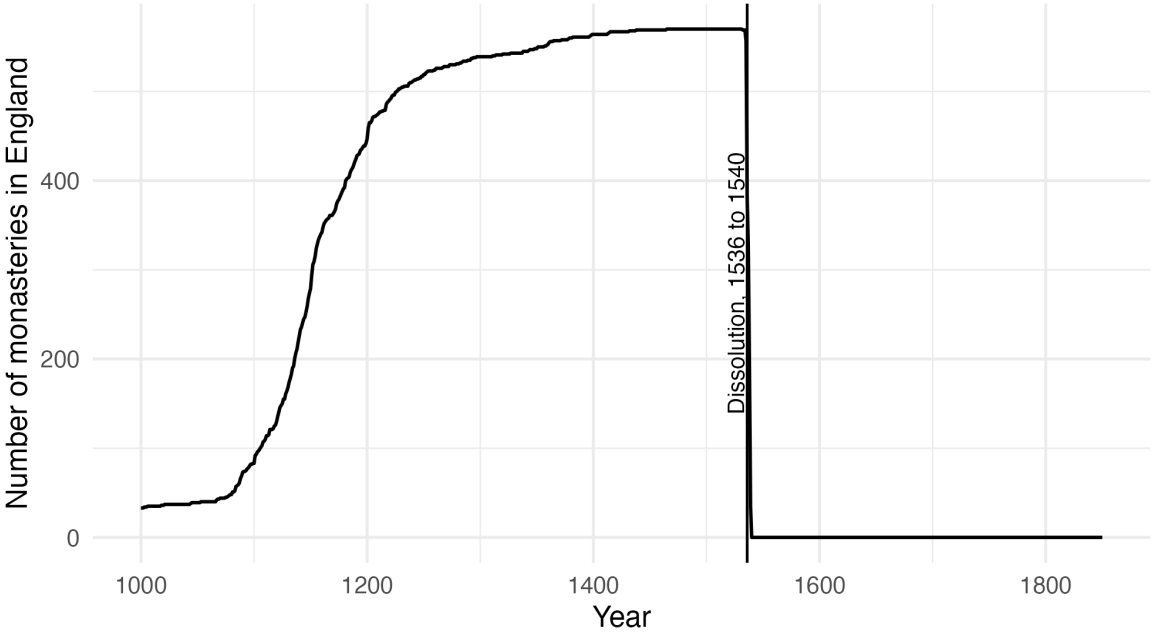
Where the monastic lands came from

- A monastery was founded by a **patron**, usually the head of a wealthy landowning family, who endowed it out of his own holdings. An act of piety, repaid with prayers and a room.
- So monastic landholding follows wherever the patron happened to own land.
- The wave came after 1066. William the Conqueror redistributed nearly all land and deliberately scattered holdings, since lords raised militias in proportion to their lands.
- 35 monasteries on the eve of the Conquest; about 600 founded in the century after 1066; 825 by 1535.
- New endowment stops with the Statutes of Mortmain, 1279 and 1290, which barred donating land to monasteries.


Number of monasteries
4000
3000
2000
1000
English Dissolution
1000
1200
1400
1600
1800
Year

Monastic foundation and its collapse

- Number of monasteries over eight centuries.
- Long build-up from 1000, steepest in the twelfth and thirteenth centuries, then a plateau.
- The vertical line is the English Dissolution: the stock falls within a few years.
- Not a decline. A confiscation.


Number of monasteries in England
0
200
400
1000
1200
1400
1600
1800
Year
Dissolution, 1536 to 1540

Monasteries in England, 1000 to 1850

- Houses in existence each year, from our own data: the 570 English houses with a known foundation date, out of the 825 in England and Wales on the eve of the Dissolution.
- 33 in 1000. The wave after the Conquest: 447 by 1200, 539 by 1300. Then a plateau for two centuries: 570 in 1500.
- 557 houses in 1535. Four years later, **none**.
- 1536: 176 houses gone in one year. 1539: the last 35.
- Nothing comes back. The line stays at zero for three centuries.

The Dissolution

- Henry VIII, king since 1509, declared himself head of the Church in England in 1534.
- Initial objective: appropriate the taxes churches and monasteries paid to the pope. To size the prize he ordered a valuation of every ecclesiastical possession, the **Valor Ecclesiasticus**, published 1535.
- 1536, the Dissolution of the Lesser Monasteries Act: 453 monasteries, those valued under 200 pounds.
- 1539, the Second Act of Dissolution: all the rest. Between 1536 and 1540 the entire monastic sector passes to the Crown.
- Usually a peaceful handover, with monks and nuns pensioned off. Sometimes forceful, with relics destroyed.

The Church in England before 1536

- Monasteries owned about **one third** of the land of England and Wales, leased out to tenants.
- A parish network of about 8,800 parishes staffed by 38,000 clergy. Most communities within a mile of a church.
- Deeply embedded: the monastery as landlord, schoolmaster, hospital, employer, and keeper of relics.

Attrition between Crown and Church

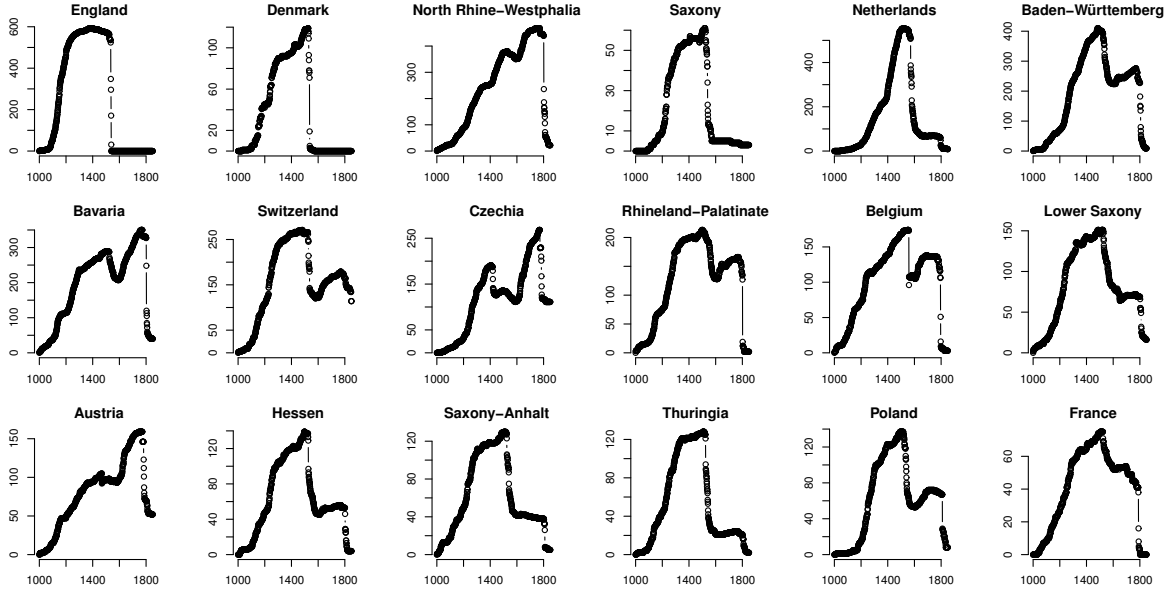
- 1534: Henry VIII head of the Church in England.
- 1535: the Valor Ecclesiasticus prices every house.
- 14 April 1536: Act for the Dissolution of the Lesser Monasteries. Every house with net income under **200 pounds** goes to the Crown. Over 400 houses.
- 1539: the rest.



John Leech, *The Comic History of England*, 1847.

Not everyone went quietly: the Pilgrimage of Grace

- October 1536: the largest rebellion in England in over a century, a direct reaction to the suppression of the lesser houses.
- About 50,000 people across northern England, marching under the banner of the Five Wounds of Christ.
- Who led it? Our own work: parishes with a **spared** monastery (income above 200 pounds), not the ones that had just lost theirs.
- Crushed by 1537. The remaining houses surrendered over the next three years.


England
Denmark
North Rhine−Westphalia
Saxony
Netherlands
Baden−Württemberg
Bavaria
Switzerland
Czechia
Rhineland−Palatinate
Belgium
Lower Saxony
Austria
Hessen
Saxony−Anhalt
Thuringia
Poland
France
1000
1400
1800

Dissolutions elsewhere

- Each panel is one country or region.
- England, Denmark and Saxony lose their monasteries in the sixteenth century, with the Reformation.
- Most of the rest only around 1800, in the wake of the French Revolution.
- Everywhere the same shape: slow accumulation over centuries, then a cliff.
- Abrupt and dated events are what make this usable as an experiment.

What happened to the land

- Henry first meant to manage the lands and created the **Court of Augmentations** for the purpose.
- He soon decided to sell everything, to finance an escalating war with France. Between 1543 and 1547 the Court oversaw the sale of two thirds of all expropriated land.
- Individual manors were largely sold at the fixed price of **20 years' income**.
- Buyers were often the monasteries' own lay officials: the bailiffs, who collected rents for the monks, and the stewards, who represented the houses in civil society.

What happened to the buildings: three fates



A house. Lacock, Wiltshire. Sold in 1540 to William Sharington, who turned the nunnery into his residence.



A ruin. Fountains, Yorkshire. Sold in 1540 to Richard Gresham, stripped of lead and stone.



A church. Tewkesbury, Gloucestershire. The town bought the church from the Crown in 1540 and kept it as its parish church.

The land market thickened

- In Devon, the number of transactions in the land market tripled in the years immediately after the Dissolution.
- A commentator in 1603: "In these days there go more words to a bargain of ten-pound land a year than in former times were used in the grant of an earldom".
- Another in 1610: "lands pass from one to another more in these latter days than ever before".
- Nonmonastic land always had a market, with one exception: as much as half the land owned by the aristocracy was held in **entail** and could not be sold.

TABLE I

DISTRIBUTION OF LANDOWNERSHIP IN ENGLAND IN 1436 AND 1688: PERCENTAGES OF CULTIVATED LAND OWNED

	1436	1688
Aristocracy and greater gentry	15–20	15–20
Middling and lesser gentry	25	45–50
Yeomen, family farmers, and other small owners	20	25–33
Church and Crown	25–35	5–10

Note. Adapted from Clay (1984, 143)

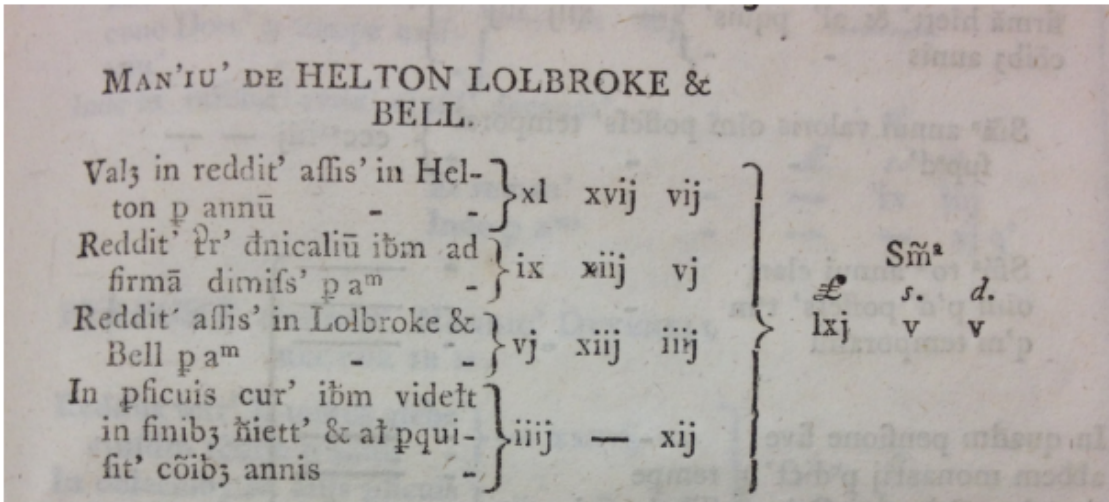
Who owned England

- Church and Crown: 25 to 35% of cultivated land in 1436, down to 5 to 10% by 1688.
- Middling and lesser gentry: 25% up to 45 to 50%.
- Great landowners and the yeomanry: relatively stable.
- Tawney's claim is that the Dissolution is what moved the land from the first line to the second.

Measuring the shock

- Commissioners, at least three per diocese, all local notables: justices of the peace, mayors, sheriffs, and the gentry themselves. The survey started on 30 January 1535.
- The Valor records **every manor each monastery owned**, with its annual income. So it shows where a monastery was the landlord, not where the monks lived.
- The authors digitized the six volumes of the Record Commission transcript.
- Parts of the original are lost: the diocese of Ely, much of London, the counties of Berkshire, Rutland and Northumberland.

Figure A-1: The manor of Helton, Lolbroke and Bell in the Valor Ecclesiasticus

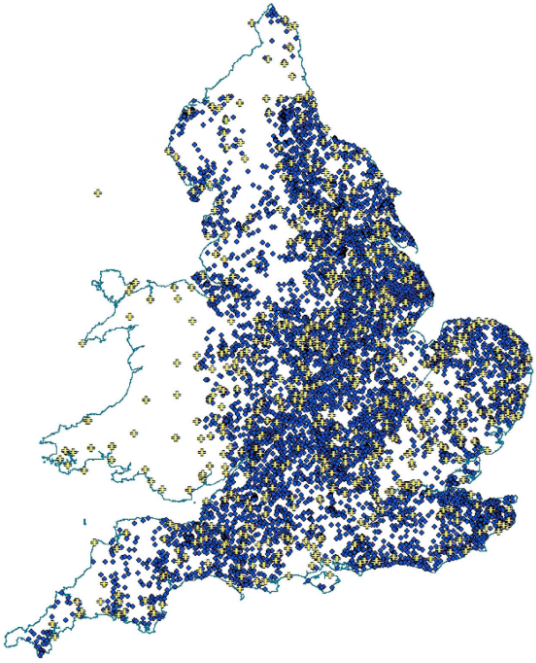


MAN'IU' DE HELTON LOLBROKE & BELL.

				Sm̃a £	s.	d.
Valꝫ in reddit' assis' in Helton ꝑ annū - -	xl	xvij	vij	lxj	v	v
Reddit' ꝑr' dnicaliū ibm ad firmā dimisꝰ' ꝑ am -	ix	xiij	vj			
Reddit' assis' in Lolbroke & Bell ꝑ am - -	vj	xiij	iiij			
In ꝑficuis cur' ibm videlt in finibꝫ ñiett' & alt ꝑquisit' cõibꝫ annis -	iiij	—	xij			

One entry

- The manor of Helton, Lolbroke and Bell.
- Rents and farm income, in abbreviated Latin, in pounds, shillings and pence.
- Coding it means reading a place name off each line and matching it to a parish.
- Repeat across six volumes.



Monastic property across England

- Crosses: where a monastery physically stood, around 1535.
- Dots: parishes with at least one monastic **manor** in 1535.
- The two do not coincide, and that is the point. Many monasteries held land all over England, a legacy of the Norman scattering.
- About one third of parishes are monastic, matching the one third of land held by the Church.

The comparison

- Unit: the **parish**, England's lowest administrative unit until about 1860. Roughly 15,000 of them, with boundaries that barely moved between the Dissolution and the Industrial Revolution.
- Medieval manors, the relevant economic unit in the countryside, often coincided with parishes.
- Main variable: an indicator for whether a monastery owned a manor in the parish in 1535.
- Two comparisons: monastic against nonmonastic parishes inside the same county; and the same parish before and after the Dissolution.
- Always adjusting for parish area and for tax revenue per head in the 1525 lay subsidy.

Was monastic land special?

- Endowments were not random: rich patrons gave land they already owned.
- **Domesday test**: the income a manor generated in 1066, before the Conquest, does not predict whether it later passed to a monastery. Monasteries got neither the best nor the worst land.
- Pretrends: growth in income or tax revenue per head between the 1066 and 1086 Domesday surveys and the lay subsidies of 1332 and 1525 is unrelated to monastic status, in every pairwise comparison.
- Useful background: before the Dissolution the richest part of England was the south, on the wool trade. The Industrial Revolution made the north the richest.

First check: markets and copyhold

- Of parishes that had a market in 1516, only about one third still had one in 1600. In monastic parishes the survival rate is **9 percentage points** higher.
- Copyhold after: the Copyhold Commission, formed to convert copyholds into freeholds, published parish-by-parish reports from 1842 to 1883, covering 16,913 contracts.
- Copyhold before: the *Tudor Domesday of Inclosures* for Berkshire and Buckinghamshire.
- Comparing before with after, monastic parishes lose copyholds: a fall of about 23% of the nineteenth-century mean.
- Consistent with the story: less perpetual tenure on monastic land to begin with.

Result 1: the rise of the gentry

- Tawney (1941): the Dissolution enabled the rise of the **gentry**, commercialized farmers sitting between the feudal lords and the yeomen.
- Source after: Adams, *Index Villaris*, a survey of the 24,000 largest towns and villages, in its 1700 edition. Before: the *Inquisitions post mortem*, 1399 to 1477.
- Monastic parishes are 26% more likely to be home to gentry. The average parish has 0.67 gentlemen; the median has none.
- As far as the authors know, the first empirical test of Tawney's thesis.
- Tawney's second claim, that the rising gentry backed Parliament in the Civil War, is tested by Jha (2015), from class 3, with different sources, and fails.

Why the gentry mattered

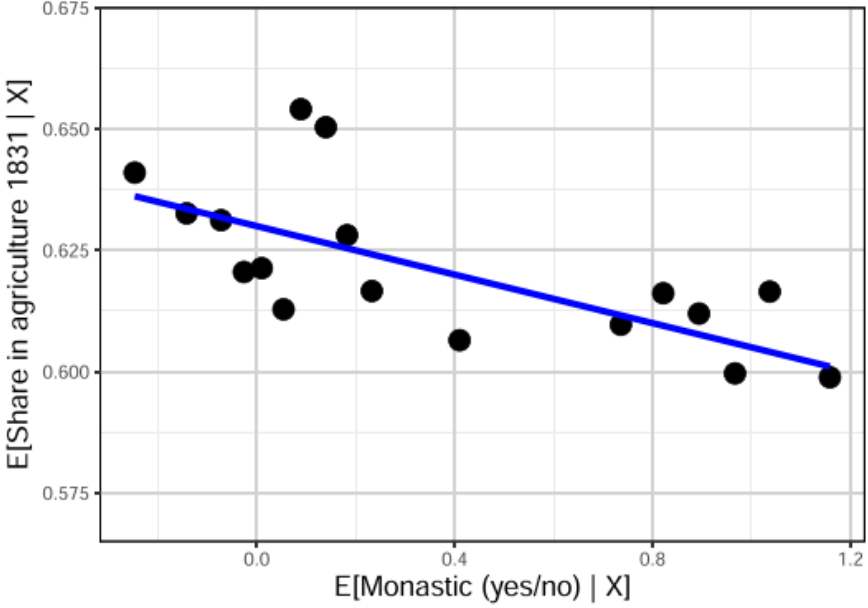
- Not only as industrialists. Also as landlords who could write economically rational leases, and as men with connections to the Parliament that had to pass enclosure acts.
- Nef on coal: gentry families mining under their own lands and renting other men's coalfields across Lancashire, Yorkshire, Durham and Northumberland.
- Langton on Lancashire, 1590 to 1689: "the landed gentry provided most of the investment and ability". Between 1690 and 1739, almost 50% of collieries in central Lancashire were both owned and operated by gentry.
- The **Hesketh**s of Rufford: leased abbey land, bought a former priory manor in 1561, sat in Parliament, opened mines, took a baronetcy in 1761.

Result 2: fewer Catholics

- Source: the *Returns of Papists* of 1767, a House of Lords investigation counting 64,000 Catholics in nearly 2,500 parishes.
- Monastic parishes have 33% fewer Catholics: about 1 percentage point lower, against a mean of 3%.
- Refusing to convert was **recusancy**. A 1581 act set a fine of 20 pounds a month for missing church; two thirds of a recusant's land could be forfeit; Catholics were barred from office and the professions until 1829.
- The logic: conversion was more attractive where land had become more valuable. Cliffe on Yorkshire: "many Catholic landowners preferred to attend Protestant services rather than hazard their estates".

Result 3: out of agriculture

- Source after: the 1831 census, the first proper complete census of England. Before: the 1381 poll tax, about 33,000 individuals with their occupations, mapped to the same categories.
- Across parishes: 3 percentage points less in agriculture, 2 percentage points more in trade and handicraft. That second figure is about 11% of its mean.
- Before and after: **15% less agricultural** and 13% higher in commercialized sectors.
- The fall in farming is almost entirely absorbed by the rise in trade and handicraft. Labor moves, it does not disappear.

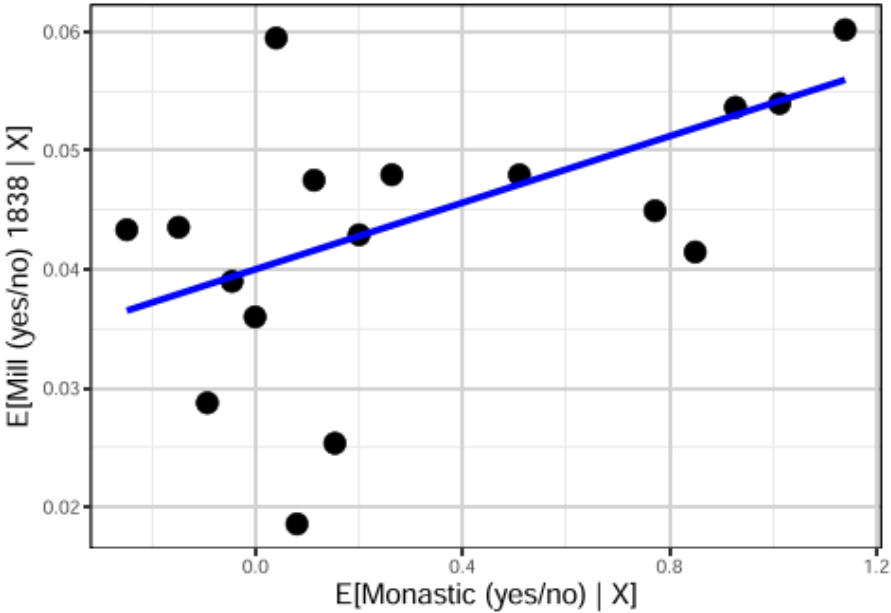

0.675
0.650
0.625
0.600
0.575
E[Share in agriculture 1831 | X]
0.0
0.4
0.8
1.2
E[Monastic (yes/no) | X]

The Dissolution and employment in agriculture, 1831

- Horizontal axis: monastic status, after stripping out county, parish area and tax revenue per head in 1525.
- Vertical axis: share of men over 20 employed in agriculture in 1831.
- Dots summarize the data in 17 bins; the line is fitted on all the parishes.
- Downward slope. More monastic, less farming.

Result 4: industrialization

- In 1838 Parliament ordered a return of every factory in England: its manufacture (cotton, wool, worsted, flax or silk), whether water or steam powered, and its employment.
- Monastic parishes are **1 percentage point** more likely to have a textile mill, against a mean of 4%. About a quarter of the mean.
- The before-and-after comparison agrees: about 20% more likely.
- The number of mills points the same way, more weakly.


0.06
0.05
0.04
0.03
0.02
E[Mill (yes/no) 1838 | X]
0.0
0.4
0.8
1.2
E[Monastic (yes/no) | X]

The Dissolution and industrialization, 1838

- Same construction as the previous figure. Vertical axis is now the probability that a parish has a textile mill in 1838.
- From roughly 4% at the bottom of the monastic scale to roughly 6% at the top.
- Small in levels, because mills are rare anywhere.
- Note what is being explained: the **location** of the Industrial Revolution inside England.

Mechanism: innovation

- If land could go to whoever used it best, investment should follow.
- Agricultural patents registered by residents of a parish, 1672 to 1852, from Woodcroft's returns: 388 patents, 95% of them after 1780. Mostly machinery: improved ploughs, seed drills, wool finishing.
- Of the 234 patentees with a recorded occupation, 52 were **gentry**, the largest single group. Engineers: 16.
- Monastic parishes register more patents.

Mechanism: enclosure, machines, yields

- **Parliamentary enclosure**, the legal procedure assigning private property rights over commonly governed land, 1750 to 1830: monastic parishes 8 percentage points more likely, against a mean of 0.37.
- Enclosure had to be initiated by landowners and enacted by Parliament, which is where the gentry's connections mattered.
- Threshing machines, 1800 to 1830, as a measure of capital in agriculture: 409 parishes have them, more of them monastic.
- Wheat yield in 1840, from the tithe surveys: higher in monastic parishes, against an average of about 22 bushels per acre.

Gentry or Catholics?

- Two social channels, opposite signs.
- Raising a parish's Catholic share to its mean of 3% is associated with a mill probability about 10% below the sample mean.
- One extra member of the gentry is associated with a mill probability about 25% above it.
- Put both in together and neither moves. They are **independent** correlates of industrialization.
- Add the monastic indicator on top and it still matters: freer land and labor helped ordinary farmers too, not only the gentry. The authors stress that none of this is causal.

What the design cannot settle

- The Dissolution came bundled with the Reformation: conversion, and the removal of monks, happen at the same moment.
- Partial answer: the shock is measured where monasteries **owned land**, not where the monks lived.
- Very long gaps between cause and outcome. Some other shock could line up with monastic status.
- Effects are modest in levels. One percentage point on a mean of 4%.
- Robustness: results hold with tighter geographic comparisons, down to 5 by 5 kilometer grid cells, and hold when every Cistercian manor is dropped.

What the paper concludes

- The Dissolution put about one third of England's land on the market, land relatively unencumbered by customary tenure.
- Affected parishes: more surviving markets, more gentry, fewer Catholics, less farming, more patenting and enclosure, more industry.
- Consistent with **commercialization** as a precondition for the Agricultural and Industrial Revolutions. Not a demonstration that it caused them.
- Their reading of Europe: France and Germany did away with customary tenure and servile labor only after their nineteenth-century political revolutions.

Comparisons the authors draw

- Precolonial Africa: almost no factor markets, and land is not a marketable asset in most of the continent today.
- Eastern Europe: relatively poor, and characterized by serfdom until the middle of the nineteenth century.
- Latin America: explicit restrictions on indigenous labor persisted in Guatemala until the 1940s and in Bolivia until the 1952 revolution.
- Song China: factor markets are one reason cited for living standards above England's before the Industrial Revolution.
- Not in the paper, worth asking in class: Brazil's Land Law of 1850, which ended free occupation and made land something you had to buy. Who did that help?

From the patrimonial to the bureaucratic state

Figueroa (2023), *World Politics*

The Protestant road to bureaucracy

THE PROTESTANT ROAD TO BUREAUCRACY

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ABSTRACT

After the seventeenth century, rulers across Europe attempted reforms to replace amateur administrators with professional bureaucrats. The success of administrative reforms hinged on whether rulers could compensate entrenched officeholders and recruit salaried employees. The author demonstrates that the extent to which these conditions were met at the time of reforms depended on whether states had experienced a Protestant Reformation in the sixteenth century. This article shows how the Reformation, which involved the expropriation of the Catholic Church's assets, set in motion two processes. First, to finance their wars, Protestant rulers used revenue from confiscated assets instead of selling proprietary offices, leading to fewer venal officeholders who resisted administrative reforms. Second, expropriations made churches poorer and reduced the number of plum jobs in the clergy, incentivizing a reallocation of educational investments from religious knowledge to secular skills more useful for state administration. This distinctive Protestant developmental path hastened the demise of the patrimonial state. By 1789, the only major territorial states that were bureaucratic were Protestant.

The question

- The professional bureaucrat, a full-time state employee appointed on merit, paid a wage, executing standardized tasks, did not exist for most of European history.
- Before that, the **patrimonial state**: offices bought, inherited and sold; holders paid in fees, not wages; business conducted as they saw fit. Tax collectors bought the right to collect and levied for private profit.
- Rulers everywhere attempted administrative reform in the seventeenth and eighteenth centuries. Only a handful succeeded.
- England and Prussia did. France and Castile tried and failed, and only built bureaucracies after 1789.

The two prices of reform

- **Disassembly**: syndicates of officeholders resisted, and had to be compensated for property they had bought.
- **Wages**: the new salaried staff had to be hired, which is cheap only where trained people are abundant.
- So the states that bureaucratized before 1789 shared two conditions: few patrimonial officeholders, and a large supply of human capital.
- Figueroa's claim: the Reformation produced both, more than a century in advance.
- Contrast with the war explanation. War pressed on everyone, and often made states *more* patrimonial, since offices were sold to pay for troops.

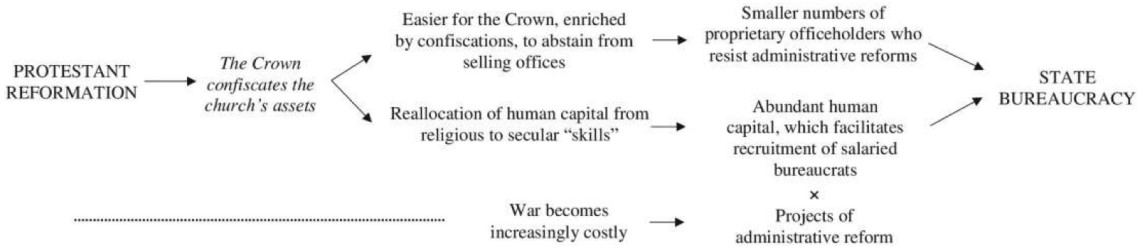


FIGURE 1
OUTLINE OF THE ARGUMENT

The argument

- Left: the Reformation, and the confiscation of the Church's assets.
- Top branch: an enriched Crown can abstain from selling offices, so fewer proprietary officeholders exist to block reform later.
- Bottom branch: a poorer Church means fewer plum jobs in the clergy, so elites train in secular skills instead.
- The dotted line: war makes reform urgent everywhere. The two conditions decide who manages it.
- Note the timing. Cause in the 1530s, effect after 1650.

Mechanism 1: not selling offices

- Selling an office was a way of borrowing against the fees the buyer would later collect. Quick cash in wartime, at the price of surrendering administrative control.
- Protestant rulers had an alternative: regular revenue from confiscated Church land, plus the land itself to sell in emergencies.
- Danish royal landholdings more than tripled; Norwegian grew more than sevenfold; Swedish about fivefold.
- By 1630, Crown land supplied 40% of total Danish royal income, and a fifth of that came from confiscated monastic estates.
- Catholic rulers had no such windfall. France set up the *bureau des parties casuelles* in 1522; Castile built a secure secondary market for offices in 1543.

Table 4
Sale of Offices as a Source of Public Finance
in the Early Modern Period

	Widespread Venality	*Limited or No Venality*
Protestant		England
		Brandenburg–Prussia
		Sweden–Finland
		Denmark–Norway
Catholic	France (from c. 1522)	Hungary
	Spain (from c. 1543)	Poland
	Papal States (from late 16th century)	Portugal
	Naples (from 16th century)	Tuscany
	Savoy (from c. 1630)	

Sources: France: Swart 1949, 5–18; Doyle 1996; Gorski 2003, 144–46; Spain: Swart 1949, 19–44; Gómez-Blanco 2021; Gorski 2003, 144–46; Bonney 1991, 340; Naples: Gorski 2003, 144–46; Hungary: Gorski 2003, 153; Papal States: Gorski 2003, 144–46; Savoy: Swart 1949, 82–88; Gorski 2003, 144–46; Tuscany: Litchfield 1986, 157; Gorski 2003, 144–46; Portugal: Olival 2011, 345–47; Sweden: Swart 1949, 89–96; Denmark: Jensen 2014, 7; Prussia: Swart 1949, 89–98; Gorski 2003, 144–46.

Who sold offices

- Widespread venality in 5 of the 9 Catholic states, in none of the 4 Protestant ones.
- The dates in the left column cluster in the sixteenth century, right after the Reformation.
- Holding urban population, early exposure to warfare and absolutism constant, Protestantism predicts a probability of widespread sale of offices **39.1 percentage points** lower.
- The buyers, once created, defended themselves. Venality became self-perpetuating.

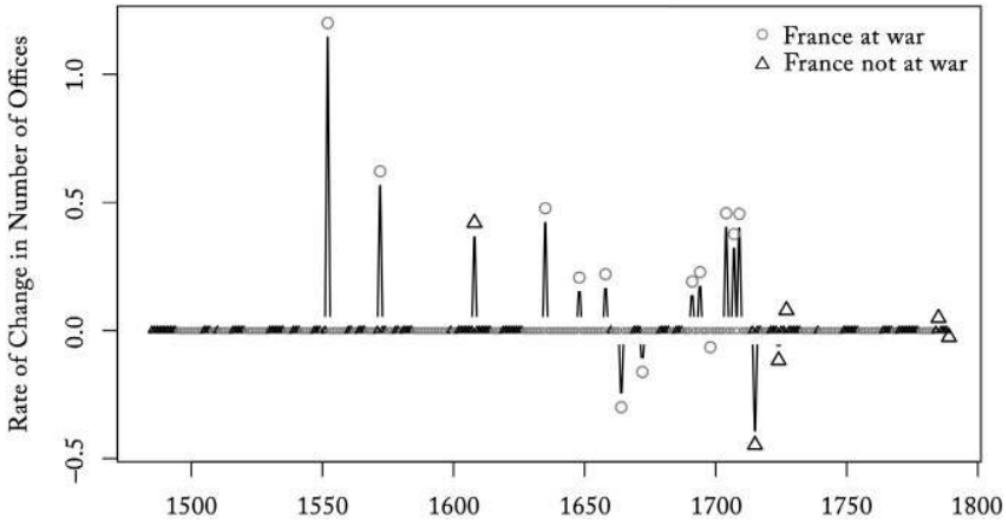


Figure 5
War and Venality in France, 1484–1789

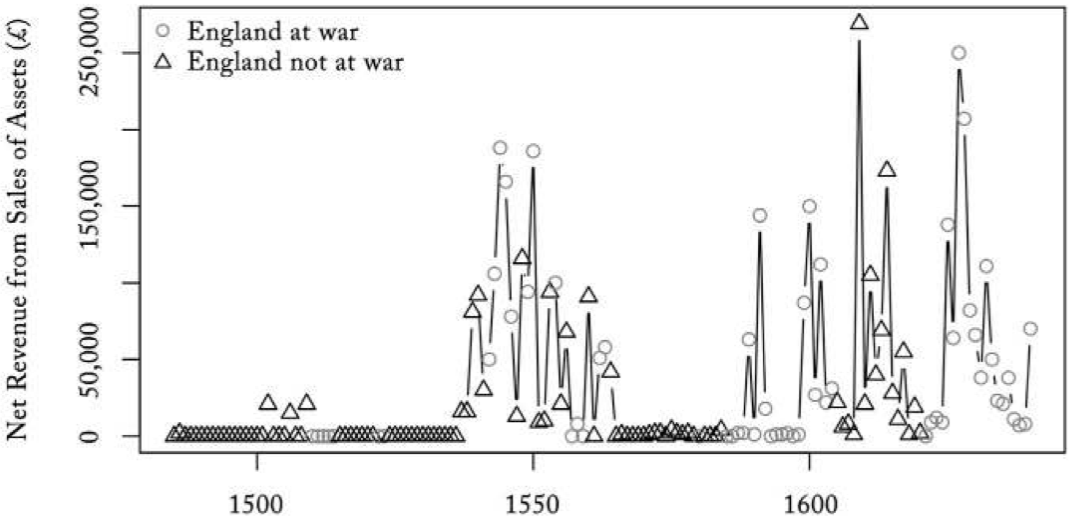


Figure 6
Sales of Assets in England, 1485–1640

France sold offices, England sold assets

- France, 1484 to 1789, ennobling offices in the chancelleries: the stock grew 2.1% a year in war years and shrank 0.03% a year in years of peace. Circles are wars.
- England, 1485 to 1640, revenue from sales of Crown assets: near zero for fifty years, then a jump in the late 1530s.
- A formal test for a break in the English series picks **1537**, one year after the confiscation of the monasteries began. The same test on direct and indirect taxes finds nothing there.
- Asset sales averaged 48.5 thousand pounds a year in wartime, against 16.9 thousand in peace.

Mechanism 2: from theology to law

- A poorer Church meant fewer well-paid positions in the clergy, and more in commerce, industry and the state.
- Elites redirected their sons accordingly: secular degrees rather than theology. **Law** was the training that transferred to state administration.
- Oxford, 1500 to 1714, from a biographical dictionary covering 58,337 students: about 10% took careers in law in the early 1500s, more than 40% by the late 1500s.
- Graduates who went into law were more likely to turn up in the customs, the excise, the exchequer or the wardrobe. Graduates who went into the clergy, less likely.

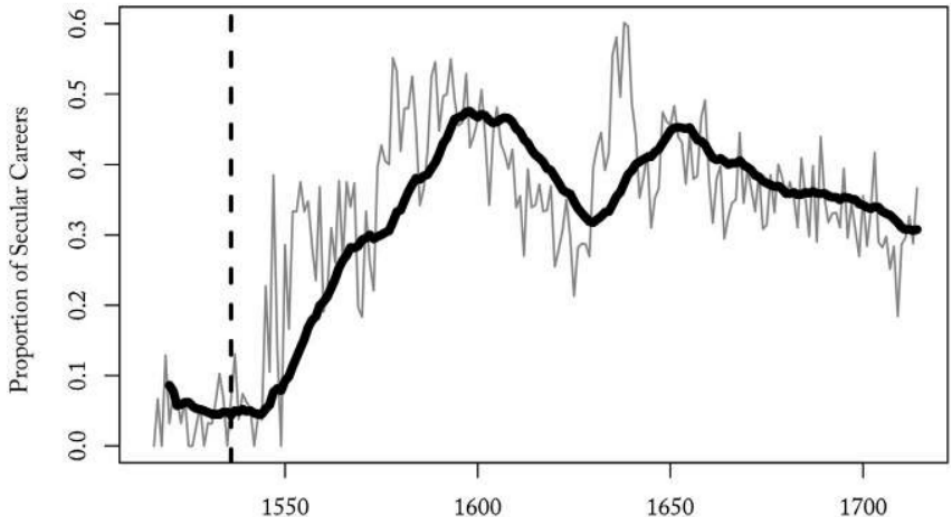


Figure 7
Oxford Graduates, 1500–1714[a]

Oxford graduates

- Thin line: the yearly share of graduates in secular careers. Thick line: a twenty-year moving average.
- The dashed vertical marks 1536, when the confiscations began.
- Flat and low before. Rising within about a decade, then settling between 30 and 50% for the rest of the period.
- In four Catholic Castilian universities over 1550 to 1650, the share in secular fields moves the other way.

The same design, one country down

- Same variation Heldring uses, at a coarser unit and finer in time: 968 hundreds, of which 348 had at least one monastery in 1535.
- Endowed grammar schools counted from Carlisle's volumes, 1480 to 1640. Grammar school was the first step to Oxford and then the Inns of Court.
- Where a monastery was confiscated, schools grew faster after 1536: about **0.15** more schools, against a mean of 0.15.
- Figueroa on the relation to the paper you read: "My results and theirs are different sides of the same story".

Table 1
Major Territorial States in Western Christendom, circa 1789[a]

	Patrimonial	*Bureaucratic*
Catholic	France	
	Hungary	
	Naples	
	Papal States	
	Poland	
	Portugal	
	Savoy	
	Spain	
	Tuscany	
Protestant		England
		Denmark–Norway
		Brandenburg–Prussia
		Sweden–Finland

Source: I based my classification of the states' religious denomination on Gorski 2003, and my classification of the type of state infrastructure on Ertman 1997.

[a] Fisher's exact test p-value is 0.0014.

TABLE 2
ADMINISTRATIONS OF THE MAJOR EUROPEAN STATES IN 1789[a]

		Characteristics of the State Administration			
Country	*Religion*	*Salaried*	*Meritocratic*	*Autonomous*	*Impartial*
Denmark	Protestant	0.19	1.87	0.88	2.57
Germany	Protestant	1.43	1.63	1.66	−2.21
Sweden	Protestant	0.13	0.33	2.29	−0.21
United Kingdom	Protestant	0.17	−0.66	1.49	0.35
France	Catholic	−0.76	−0.19	−0.82	0.77
Hungary	Catholic	−1.74	n.d.	n.d.	n.d.
Papal States	Catholic	0.11	−0.73	1.16	−1.02
Savoy	Catholic	0.11	−1.00	−0.98	1.29
Poland	Catholic	−2.68	−0.93	2.42	−0.93
Portugal	Catholic	−1.30	−2.24	0.07	0.03
Spain	Catholic	0.11	−1.80	−0.91	0.58
Tuscany	Catholic	−1.78	0.41	1.12	1.03
Naples	Catholic	−0.76	−0.97	−2.25	1.21

[a] Own elaboration with V-Dem data available from Cornell, Knutsen, and Teorell 2020 for the year 1789. n.d. = no data.

1789

- The thirteen major territorial states of Western Christendom, all of them Catholic before the Reformation.
- Every state that had begun to build a bureaucracy was Protestant. Every state still patrimonial was Catholic.
- Also true on graded measures from surveys of political historians: Protestant states relied more on salaried employees and on merit in recruitment.
- Thirteen observations. Which is why most of the paper is about **mechanisms** rather than this table.

The counterexample: France

- So many offices had been sold that their owners became the Crown's inside creditors, and used that leverage to deepen their privileges.
- Compensating them became prohibitively expensive. Figueroa calls it the **patrimonial trap**.
- Tax collection was farmed out entirely. By 1723 a single General Farm, collecting about 45% of total state revenue in 1768.
- Necker, Louis XVI's finance minister, eliminated hundreds of venal tax collectors and made salaried commissioners responsible for direct taxes.
- "a coalition of financiers, proprietary officeholders, and disgruntled members of the royal family had formed an opposition group which was powerful enough to remove him". His successors reversed everything in six years.

Putting the two together

- One shock, the expropriation of Church property, two different margins.
- Heldring, Robinson and Vollmer: land becomes tradable and lightly encumbered, the countryside commercializes, industry locates there three centuries later.
- Figueroa: the Crown need not sell offices and elites retrain, so a salaried bureaucracy becomes affordable in the eighteenth century.
- What the wealth bought depended on who ended up holding it.